

25LBCV00638 25LBCV00638

County: los-angeles

Division: Civil Law and Motion

Department: S27

Hearing date: 2026-09-24

Source URL: https://www.lacourt.ca.gov/tentativeRulingNet/ui/main.aspx?casetype=civil&dept_date=LB%20%2CS27%2C09%2F24%2F2026

Source SHA-256: 7dc79d9d25c811d2a409e16d686973c55defdfa10035fe0760960c14d795d1bb

Case Number: 25LBCV00638 Hearing Date: September 24, 2026 Dept: S27

1. Background

Facts

Plaintiff, Denise Guesno ("Denise")

filed this action against Defendants, Lawrence E. Guesno ("Lawrence") and Entourage Property Management, Inc. ("EPM") (together "Defendants") on March 7, 2025, asserting claims for (1) involuntary dissolution of corporation, (2) breach of fiduciary duty, (3) corporate waste, and (4) removal of a corporate officer/director.

Denise and Lawrence are or were

engaged in dissolution of marriage proceedings. They jointly own EPM, the entity subject to Denise's various corporate misgovernance claims. Specifically, Denise alleges she owns at least 41% of EPM, and her interest is at risk of being lost or materially injured because Lawrence, EPM's current Director, CEO, and majority shareholder has (1) distributed at least \$1.374 million from EPM to himself, (2) caused EPM to loan \$1.7 million to third parties so he can purchase real estate in his individual capacity at reduced prices, (3) "is threatening" to lend himself more than \$1 million of EPM's funds, (4) uses EPM's assets as his own, and (5) refuses to allow Denise to inspect EPM's records.

2. Motion

to Stay Action

Defendant moves to stay this action, contending there is a risk of inconsistent rulings if this action goes forward while the family law proceeding remains ongoing.

There is a hearing scheduled in the

divorce court for 10/13/26. The hearing is on Plaintiff's request for a DVPA Restraining Order. The DVPA is the Domestic Violence Protection Act. It permits the family law court to issue injunctive relief to prevent a party from exercising coercive control over the other party, and permits the family law court to issue an order granting injunctive relief over the opposing party's community, quasi-community, and/or separate property. Plaintiff, in connection with this hearing, is seeking an order restraining Defendant from engaging in many of the acts at issue in this case – looting EPM's assets, transferring monies, and operating competing businesses. Plaintiff also seeks an order, in the family law court, appointing a referee over EPM and the competing businesses to preserve the assets while the parties' family law and civil law proceedings are ongoing.

Defendant spends much of his opening brief citing portions of Plaintiff's complaint and various documents filed in this action wherein Plaintiff seeks injunctive relief, restraining orders, and/or appointment of a referee over those same properties. Those requests, however, have been denied, with this Court finding Plaintiff's remedy in the civil action is damages.

The purpose of the proceedings in the family law court is to preserve the assets that are at issue in this civil court while this civil action is ongoing. While the Court finds the procedural posture extremely complicated, the Court is inclined to find, at this time, that there is no risk of inconsistent rulings between the family proceedings and the civil proceedings. The family court may impose various remedies pending the outcome of the civil proceedings, but ultimately the issue in the civil proceedings will be whether Defendant has adequately protected Plaintiff's minority interest in EPM and to what extent Plaintiff is entitled to monetary damages if he has not done so.

Defendant also argues at length that Plaintiff has taken the position, in the family law court, that EPM is community property. In May of 2025, the family law court held it is not. Defendant, in reply, quotes portions of Plaintiff's papers, filed in August of 2026, wherein she refers to funds and assets belonging to EPM, "and therefore to the community estate..." The Court wishes to hear from the parties at the hearing concerning the

implications of these statements, but it appears there has been a final order that EPM is NOT community property, and that each spouse has a separate property interest in his or her percentage share of EPM.

Finally, Defendant argues the family law court recently issued an extremely large attorneys' fees award in Plaintiff's favor, and contends this could conflict with any ruling issued in the civil court, where fees are also at issue.

The Court will not permit double recovery of the same fees. While this could become complicated at some time, the Court finds there is no risk that Defendant will have to pay the same fees twice.

Ultimately, the issue in this civil action is whether Defendant, as majority shareholder in EPM, has devalued Plaintiff's minority shareholder interest in the company and, if so, the amount of Plaintiff's damages as a result of the devaluation. The pending issue in the family law action is whether Defendant is engaged in financial acts that are designed to deprive Plaintiff of her rights to property and/or money, in which the family law court can take any acts, including restraining Defendant's separate property, to protect Plaintiff from the abusive financial acts taken by Defendant. While the issues are similar, they are ultimately distinct, and the motion for a stay is denied.

3. Motion for Leave to Amend

a. Relief Sought

Plaintiff seeks leave to file an amended complaint. The scope of the proposed amendment is vast, and much of Plaintiff's proposed amendment is simply adding allegations, clarifying prior allegations, etc. The crux of her amendment, however, is the addition of six additional defendants, all of whom she seeks to allege aided and abetted the individual defendant in looting the assets of Entourage to deprive Plaintiff of her interest in the entity. She also seeks leave to add clarifying allegations about the six defendants, their relationships to the individual defendant, and the transactions that she alleges were fraudulent in nature.

b. Opposition

Defendant opposes the motion. He argues the motion should be denied because the proposed amendment is in bad faith and because the proposed amendment is a sham designed to drive up his legal costs while seeking access to property under the jurisdiction of the divorce court.

c. Law

Governing Leave to Amend

The court may, in furtherance of justice, and on such terms as may be proper, allow a party to amend any pleading. CCP §§473 and 576. Judicial policy favors resolution of all disputed matters between the parties and, therefore, leave to amend is generally liberally granted. Ordinarily, the court will not consider the validity of the proposed amended pleading in ruling on a motion for leave since grounds for a demurrer or motion to strike are premature. However, the court does have discretion to deny leave to amend where a proposed amendment fails to state a valid cause of action as a matter of law and the defect cannot be cured by further amendment. *California Casualty General Ins. Co. v. Superior Court* (1985) 173 Cal.App.3d 274, 281.

The application for leave to amend should be made as soon as the need to amend is discovered. The closer the trial date, the stronger the showing required for leave to amend. If the party seeking the amendment has been dilatory, and the delay has prejudiced the opposing party, the Court has the discretion to deny leave to amend. (*Hirsa v. Superior Court* (1981) 118 Cal.App.3d 486, 490.) Prejudice exists where the amendment would require delaying the trial, resulting in loss of critical evidence, or added costs of preparation such as an increased burden of discovery. (*Magpali v. Farmers Group, Inc.* (1996) 48 Cal.App.4th 471, 486-488.)

d.

Analysis

Defendant's

first argument is that Plaintiff is making the motion in bad faith and the proposed amendment is a sham. Defendant does not meaningfully articulate how or why this is so. Defendant contends Plaintiff has known about

the proposed new defendants for a long time due to the ongoing divorce proceedings, but this does not render the proposed amendment a sham; this would, at most, trigger the delay/prejudice test detailed above.

Even if the Court were to find delay, the Court cannot find prejudice.

Defendant complains that, if the motion is granted, he will have to expend additional attorneys' fees defending the added claims. This is not, however, the type of prejudice contemplated when determining whether or not to grant leave to amend.

Defendant also argues the proposed claims violate the jurisdiction of the divorce court. It appears Defendant's argument is that the new defendants are his separate property, and if this court were to rule otherwise, it would violate the divorce court's jurisdiction. Plaintiff, in reply, however, concedes the companies are Defendant's separate property, and explains that the purpose of the amendment is to add claims against the entities for wrongfully assisting Defendant in devaluing the parties' community property company, Entourage. The Court finds it cannot refuse to grant leave to amend on this ground.

e. Conclusion

In light of the liberal standard in favor of leave to amend, the motion is granted. Plaintiff is ordered to file a separate copy of her amended complaint within ten days.

4. Objections to Referee's Report and Recommendations

EPM inadvertently produced various documents during discovery and then attempted to claw them back. The parties presented the issue to the referee, who held that the documents that form the subject of this motion should not be clawed back. EPM and Mr. Guesno object to the recommendations.

The subject documents are communications by and between Mr. Guesno, his own attorney(s), and EPM's attorney. The crux of the referee's ruling is that, because this is a derivative lawsuit by Ms. Guesno against EPM, EPM is only a nominal defendant and is, in reality, a plaintiff in the

action. The referee therefore concluded that EPM and Mr. Guesno do not share a “common interest” in the litigation and therefore any documents that are shared by and between them and their attorneys are not attorney-client privileged due to the third party communication exception to the privilege.

The referee relied on various cases decided in the context of attorney disqualification motions to reach his conclusion. The referee expressly conceded, in his report, that these cases were not directly on point, but found them compelling and determined the documents need not be returned to EPM.

EMP and Mr. Guesno have each filed objections to the report. Ms. Guesno did not file anything in support of the report or its conclusions. The Court has read and considered the objections and finds they must be sustained.

The Court read and considered *Hoiles v. Superior Court* (1984) 157 Cal.App.3d 1192, 1195, which both EPM and Mr. Guesno relied on in their papers. In *Hoiles*, the plaintiff was a minority shareholder of a closely held corporation.

The plaintiff was alleging breach of fiduciary duty and seeking dissolution of the corporation.

Corporate counsel raised attorney-client privilege objections at a deposition as to questions concerning prelitigation strategy and requests. The trial court sustained the objections, and the court of appeals affirmed. The crux of the ruling was that the existence of other family members and corporate counsel at the meetings did not defeat the attorney-client privilege.

While *Hoiles* is not directly on point, the Court is inclined to find that Mr. Guesno's sharing of his thoughts between his own attorney and EPM's attorney, similar to the conversations in *Hoiles*, did not defeat the privilege. As

Mr. Guesno and EPM both note in their papers, Mr. Guesno was the sole manager of EPM and the only person actively doing work for EPM. It is therefore difficult to imagine whom EPM's attorney would communicate with to address legal concerns during ongoing proceedings.

The objections are therefore sustained. Plaintiff must return the subject documents to EPM.

Plaintiff is ordered to give notice.